

adviser before applying for residency. Beware of residential status that makes you subject to local taxes on U.S. interest income.

INFLATION AND MONEY CHANGING

You'll want to keep your CDs in the United States, where they're guaranteed by a U.S. government agency. But what about inflation? You've heard of 25 percent *monthly* inflation in Argentina, 15 percent in Brazil, and 5 percent in Mexico. Those numbers frighten you. Won't things get very expensive very fast?

If the local currency devalues by the same amount as inflation, the answer is no. Suppose you live in Brazil and have your money in dollar CDs back in the United States. Suppose further that prices in Brazilian cruzados go up 15 percent in a given month. As long as the cruzado devalues by 15 percent against the dollar, your spending power remains the same. Your dollars buy enough additional cruzados to pay the higher prices. Inflation can go to 150 percent a month for all you care, as long as the cruzado devalues by the same amount.

Do inflation and devaluation move at the same rate? Many times they do. But every once in a while one can move faster than the other. If devaluation is greater than inflation, you gain. If inflation is greater than devaluation, you lose. If you lose for very many years in a row you could be squeezed. But Third World countries are so cheap you can withstand a squeeze. Suppose a dozen eggs goes from 10 cents to 20 cents. That's a whopping 100 percent increase—but it's still only a dime. Only if things get very bad—eggs go to \$5 a dozen—will you have to move. Even in this extreme case you can expect to return after the inevitable currency crash.

Day in, day out, you'll be more pressed by money-changing than by inflation. To avoid having too many exposed pesos, cruzados, or australs in your pocket, you'll want to change